

Quarterly Diesel Escalation Review & Commercial Adjustment Workbook

Steel Plant Slag Handling & Excavation Operations

Prepared jointly by the Operations Department, Commercial Contracts Team, Procurement Governance Team, and Industrial Finance Division for the purpose of evaluating diesel benchmark movements, labor CPI escalation, equipment deployment productivity, transportation utilization, and commercial invoice adjustment governance for integrated steel manufacturing operations.

SECTION 1 — Executive Commercial Summary

During the review quarter, slag evacuation and excavation operations continued under variable production conditions driven by blast furnace synchronization delays, heavy vehicle movement congestion, and intermittent maintenance shutdowns affecting downstream transportation scheduling. The Operations Department observed that diesel benchmark volatility continued to exert measurable pressure on transportation-intensive activities including dumper movement, payload transportation, excavation support logistics, and standby deployment readiness. Procurement Governance teams noted that average diesel benchmark movement exceeded the internal quarterly volatility tolerance threshold established under Clause 14.2 of the Industrial Escalation Governance Schedule. Finance controllers additionally observed that equipment idle-hour costs increased due to operational waiting time linked to rail siding congestion and furnace tapping schedule deviations. Commercial review teams highlighted that although production tonnage remained within annual contractual tolerance bands, operational productivity across night shifts reduced marginally because of manpower absenteeism, preventive maintenance interventions, and weather-related access limitations within the slag dumping corridor. Internal operational analysis further confirmed that equipment utilization efficiency remained lower than planned deployment assumptions for two consecutive review months. Accordingly, partial escalation applicability rather than full composite escalation approval was recommended for transportation-linked commercial components. The escalation committee also directed that all future benchmark calculations continue to use arithmetic quarterly averaging methodology rather than isolated month-end benchmark references in order to minimize distortion arising from temporary diesel market fluctuations.

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Equipment Deployment	Excavator and dumper shift mapping	Supports escalation applicability validation
Diesel Trend Register	Monthly benchmark movement schedule	Used for quarterly averaging
Manpower Matrix	Operator deployment by shift	Supports labor escalation review
Utilization Summary	Equipment uptime and idle-hour review	Supports KPI deduction governance

Commercial certification remarks recorded during the quarterly review meeting confirmed that all escalation calculations remain subject to audit verification, procurement governance approval, operational certification, and finance controller validation prior to commercial release of adjusted invoice values. The committee additionally instructed that future escalation review workbooks maintain traceability of benchmark references, CPI publications, utilization registers, and maintenance downtime certifications to support audit defensibility and industrial commercial governance requirements.

SECTION 2 — Diesel Benchmark Review

During the review quarter, slag evacuation and excavation operations continued under variable production conditions driven by blast furnace synchronization delays, heavy vehicle movement congestion, and intermittent maintenance shutdowns affecting downstream transportation scheduling. The Operations Department observed that diesel benchmark volatility continued to exert measurable pressure on transportation-intensive activities including dumper movement, payload transportation, excavation support logistics, and standby deployment readiness. Procurement Governance teams noted that average diesel benchmark movement exceeded the internal quarterly volatility tolerance threshold established under Clause 14.2 of the Industrial Escalation Governance Schedule. Finance controllers additionally observed that equipment idle-hour costs increased due to operational waiting time linked to rail siding congestion and furnace tapping schedule deviations. Commercial review teams highlighted that although production tonnage remained within annual contractual tolerance bands, operational productivity across night shifts reduced marginally because of manpower absenteeism, preventive maintenance interventions, and weather-related access limitations within the slag dumping corridor. Internal operational analysis further confirmed that equipment utilization efficiency remained lower than planned deployment assumptions for two consecutive review months. Accordingly, partial escalation applicability rather than full composite escalation approval was recommended for transportation-linked commercial components. The escalation committee also directed that all future benchmark calculations continue to use arithmetic quarterly averaging methodology rather than isolated month-end benchmark references in order to minimize distortion arising from temporary diesel market fluctuations.

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Month	Regional Benchmark	Quarter Avg	Movement	Escalation Trigger
Jan-2025	INR 93.59/L	INR 94.04	3.88%	Under Review
Feb-2025	INR 89.14/L	INR 89.59	0.57%	Applicable
Mar-2025	INR 94.73/L	INR 95.18	-0.96%	Applicable
Apr-2025	INR 85.84/L	INR 86.29	1.07%	Under Review
May-2025	INR 89.18/L	INR 89.63	3.72%	No Escalation
Jun-2025	INR 94.8/L	INR 95.25	1.84%	Under Review

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SECTION 3 — Escalation Methodology & Formula Review

During the review quarter, slag evacuation and excavation operations continued under variable production conditions driven by blast furnace synchronization delays, heavy vehicle movement congestion, and intermittent maintenance shutdowns affecting downstream transportation scheduling. The Operations Department observed that diesel benchmark volatility continued to exert measurable pressure on transportation-intensive activities including dumper movement, payload transportation, excavation support logistics, and standby deployment readiness. Procurement Governance teams noted that average diesel benchmark movement exceeded the internal quarterly volatility tolerance threshold established under Clause 14.2 of the Industrial Escalation Governance Schedule. Finance controllers additionally observed that equipment idle-hour costs increased due to operational waiting time linked to rail siding congestion and furnace tapping schedule deviations. Commercial review teams highlighted that although production tonnage remained within annual contractual tolerance bands, operational productivity across night shifts reduced marginally because of manpower absenteeism, preventive maintenance interventions, and weather-related access limitations within the slag dumping corridor. Internal operational analysis further confirmed that equipment utilization efficiency remained lower than planned deployment assumptions for two consecutive review months. Accordingly, partial escalation applicability rather than full composite escalation approval was recommended for transportation-linked commercial components. The escalation committee also directed that all future benchmark calculations continue to use arithmetic quarterly averaging methodology rather than isolated month-end benchmark references in order to minimize distortion arising from temporary diesel market fluctuations.

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Adjusted Transportation Rate = Base Rate × (Current Diesel Benchmark / Base Diesel Benchmark)

Labor Escalation Adjustment = Base Labor Component × (Current Labor CPI / Base Labor CPI)

Scenario	Base Value	Diesel Factor	Labor CPI	Composite Impact	Adjusted Value
Q1	INR 1,00,00,000	1.092	1.067	2.11%	INR 10,210,999
Q2	INR 1,00,00,000	1.105	1.071	3.95%	INR 10,395,000
Q3	INR 1,00,00,000	1.048	1.023	2.06%	INR 10,206,000
Q4	INR 1,00,00,000	1.067	1.024	7.26%	INR 10,726,000
Q5	INR 1,00,00,000	1.101	1.064	1.84%	INR 10,184,000
Q6	INR 1,00,00,000	1.089	1.028	4.79%	INR 10,479,000
Q7	INR 1,00,00,000	1.112	1.07	6.29%	INR 10,629,000
Q8	INR 1,00,00,000	1.04	1.033	6.08%	INR 10,608,000
Q9	INR 1,00,00,000	1.07	1.028	7.56%	INR 10,756,000
Q10	INR 1,00,00,000	1.025	1.064	6.53%	INR 10,653,000

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SECTION 4 — Operational Productivity Analysis

During the review quarter, slag evacuation and excavation operations continued under variable production conditions driven by blast furnace synchronization delays, heavy vehicle movement congestion, and intermittent maintenance shutdowns affecting downstream transportation scheduling. The Operations Department observed that diesel benchmark volatility continued to exert measurable pressure on transportation-intensive activities including dumper movement, payload transportation, excavation support logistics, and standby deployment readiness. Procurement Governance teams noted that average diesel benchmark movement exceeded the internal quarterly volatility tolerance threshold established under Clause 14.2 of the Industrial Escalation Governance Schedule. Finance controllers additionally observed that equipment idle-hour costs increased due to operational waiting time linked to rail siding congestion and furnace tapping schedule deviations. Commercial review teams highlighted that although production tonnage remained within annual contractual tolerance bands, operational productivity across night shifts reduced marginally because of manpower absenteeism, preventive maintenance interventions, and weather-related access limitations within the slag dumping corridor. Internal operational analysis further confirmed that equipment utilization efficiency remained lower than planned deployment assumptions for two consecutive review months. Accordingly, partial escalation applicability rather than full composite escalation approval was recommended for transportation-linked commercial components. The escalation committee also directed that all future benchmark calculations continue to use arithmetic quarterly averaging methodology rather than isolated month-end benchmark references in order to minimize distortion arising from temporary diesel market fluctuations.

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KPI	Target	Actual	Operational Observation
Dumper Turnaround	32 Min	41 Min	Congestion near slag yard access road
Equipment Uptime	95%	89%	Hydraulic maintenance delays observed
Shift Productivity	100%	91%	Night shift manpower shortage
Excavation Output	12,500 MT	11,420 MT	Weather interruption impact
Fuel Efficiency	3.8 Km/L	3.4 Km/L	Idle-hour increase

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SECTION 5 — Commercial Invoice Adjustment Review

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Invoice Ref	Base Billing	Diesel Esc.	KPI Deduction	GST	Net Payable
INV-25-001	INR 9,874,398	INR 324,648	INR 134,214	INR 1,811,669	INR 11,876,501
INV-25-002	INR 14,296,977	INR 409,266	INR 149,608	INR 2,620,194	INR 17,176,829
INV-25-003	INR 12,750,632	INR 262,407	INR 136,827	INR 2,317,718	INR 15,193,930
INV-25-004	INR 14,405,821	INR 159,694	INR 65,525	INR 2,609,998	INR 17,109,988
INV-25-005	INR 10,677,298	INR 361,209	INR 187,180	INR 1,953,238	INR 12,804,565
INV-25-006	INR 14,945,424	INR 307,294	INR 136,399	INR 2,720,937	INR 17,837,256
INV-25-007	INR 11,836,021	INR 342,645	INR 148,236	INR 2,165,477	INR 14,195,907

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SECTION 6 — Escalation Committee Review Notes

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Department	Observation	Recommendation
Procurement	Diesel benchmark selection requires regional averaging validation	Partial escalation approval recommended
Finance	Idle equipment hours remain commercially disputed	Standby cost to remain non-escalable
Operations	Production continuity impacted by blast furnace delays	Operational exemption requested
Maintenance	Breakdown frequency increased during wet season	Reserve equipment deployment required

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SECTION 7 — Appendices & Supporting Schedules

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